Who Should Buy Just Salad: Chipotle or Qdoba?

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This is a hypothetical case study. Neither Chipotle nor Qdoba has announced, proposed or reportedly explored a deal for Just Salad. Company figures are real and sourced; deal terms, bidder hurdles and projections are my own modeling assumptions, labeled as such.

Executive summary

Chipotle is the better owner for Just Salad. In the model it could pay up to about $1.6 billion and still earn its cost of capital, while Qdoba's private-equity owner could justify only about $700 million, roughly half the $1.25 billion asking price.

The gap has two sources. Chipotle's cost of capital is about 9% versus a roughly 20% hurdle for Butterfly Equity, Qdoba's owner. Chipotle can also roughly double Just Salad's opening pace, which Qdoba, a franchisor with 175 company-run restaurants, cannot match. Qdoba's real advantage is a franchise network that could take Just Salad national with little capital. Its weakness is an owner that built a multi-brand platform in 2022 and had sold the other brands by 2025.

Even so, Chipotle should not pay $1.25 billion outright today. Funded with debt, the deal trails an equal-size buyback until 2030. The best answer is a Chipotle minority stake now, with a path to control.

The setup

Imagine Just Salad's board runs a sale process in early 2027 and asks $1.25 billion, a 25% premium to its last private valuation. Two Mexican fast-casual chains are the natural bidders: Chipotle, the category leader, and Qdoba, its closest national rival.

Term	Assumption	Basis
Asking price	$1.25B equity value, cash	25% premium over the $1.0B Feb 2025 round
Price / 2026E revenue	5.0x	$248M modeled 2026 revenue

Term	Assumption	Basis
Price / 2026E EBITDA	about 50x	~$25M modeled 2026 EBITDA (10% margin)
Price per restaurant	$10.0M	~125 open restaurants
Chipotle funding	New debt at 5.5%, or cash at a 4.0% forgone yield	$228M cash at June 30, 2026; no debt
Qdoba funding	~$150M acquisition debt (6x EBITDA) at 7%, rest as new sponsor equity	Butterfly Equity owns Qdoba; $435M securitization in May 2026

At about 50 times current EBITDA, the price only works for a buyer who can make Just Salad much bigger. The question is which bidder can do that, and which can afford to wait for it.

The bidders head-to-head

Chipotle is about nine times Qdoba's size by sales and runs almost every restaurant itself. Qdoba is growing comparable sales faster but is a franchisor owned by private equity, with far less capital of its own.

Metric	Chipotle	Qdoba	Just Salad (target)
Sales, 2025	$11.9B revenue	$1.27B system sales	$195M revenue (preliminary)
Restaurants	4,201 (Jun 30, 2026)	~865 (mid-2026)	125+ (Jul 2026)
Average unit volume	~$3.0M (my estimate: revenue ÷ average units)	$1.7M	~$2.2M (traditional units)
Comparable sales	−1.7% (2025); +2.2% (Q2 2026)	+4.4% (2025); +7.7% (2024)	not disclosed
Restaurant-level margin	25.4% (2025)	21.5–23.8% by format	"north of 20%"

Metric	Chipotle	Qdoba	Just Salad (target)
Ownership model	~100% company-owned (4,042 of 4,056 at YE2025)	~79% franchised (652 of 827 at YE2025)	nearly all company-owned
Openings	350–370 planned in 2026	~73 net planned in 2026	~30 planned in 2026
Owner and capital	Public; ~$37.8B market cap; no debt	Butterfly Equity (private equity) since 2022; $435M securitization debt	Private; $200M raised at ~$1.0B in 2025
Long-term goal	7,000+ North American restaurants	2,000 restaurants, $5B system sales	"one of the largest chains in the U.S."
Multi-brand record	ShopHouse (closed 2017), Pizzeria Locale (2023), Farmesa (2024)	Merged with Modern Market and Lemonade in 2022; sold both by 2025	Ran a virtual brand, Health Tribes, from 2020

Two rows decide most of the case. Ownership model: Just Salad is built like Chipotle, company-run and capital-heavy, while Qdoba's playbook is to sell restaurants to franchisees. Owner and capital: Chipotle funds growth from operating cash, while Qdoba's growth is financed by franchisees and a sponsor with a fixed exit horizon.

The target: Just Salad

Just Salad is a 20-year-old New York salad chain that has grown revenue about 28% a year since 2023 while staying profitable at the restaurant level. Revenue went from $120 million in 2023 to $160 million in 2024 and a preliminary $195 million in 2025, per the company.

Metric	Value	Source date
Restaurants	125+ across NY, NJ, CT, PA, MA, IL, FL and Washington, D.C.	Jul 2026
Openings	20 in 2025; about 30 planned for 2026	Jul 2026

Metric	Value	Source date
Average unit volume (traditional units)	close to $2.2M	Jan 2026
Restaurant-level margin	"north of 20%"	Jan 2026
Drive-thru sales lift	30%+ vs traditional units	Jan 2026
Sales mix	about 50% non-salad (bowls, wraps, smoothies)	2026
Last valuation	~$1.0B on a $200M raise led by Wellington Management	Feb 2025
Ownership	Founder-led (Nick Kenner, CEO); Jalen Brunson joined as equity partner	Jun 2026

Its identity is unusual for fast casual: no automation, dressings made in-house, proteins cooked on site several times a day, a Certified B Corporation, carbon-labeled menus, and the world's largest restaurant reusable-bowl program. Two cautions for a buyer: the revenue figures are company-reported and preliminary (Technomic estimated 2023 sales at $150M, not $120M), and nearly all units are company-owned, so growth needs capital.

Strategic fit

Chipotle wins on operations and capital; Qdoba wins on geography and on the need for a second engine. The table scores each bidder on what Just Salad needs to grow.

What Just Salad needs	Chipotle	Qdoba	Edge
Capital for company-owned openings	Funds 350+ openings a year from operating cash	Relies on franchisees; ~175 company restaurants	Chipotle
Site selection and construction at scale	Industry's fastest builder; Chipotlane drive-thrus at scale	~73 net openings a year, mostly by franchisees	Chipotle
Procurement leverage	~$3.5B a year of food and packaging (29.7% of revenue in Q2 2026)	$1.27B of system sales, about a tenth of Chipotle's volume	Chipotle

What Just Salad needs	Chipotle	Qdoba	Edge
A way to go national without heavy capital	No franchising culture	85+ franchisees operating ~80% of units, expanding in the East and West	Qdoba
Room for a second brand in the strategy	Single-brand focus; 7,000-unit runway still ahead	Needs growth beyond Mexican fast casual to reach $5B in sales	Qdoba
Cultural fit with cook-on-site, no automation	Pushing kitchen automation	Franchisee-run, value-oriented	Neither

For Qdoba, Just Salad would add 125+ dense, mostly urban Northeast restaurants and a lunch-and-health occasion its menu lacks. Franchising Just Salad would also clash with the model the brand credits for its margins: proteins cooked on site, dressings made in-house, no commissary.

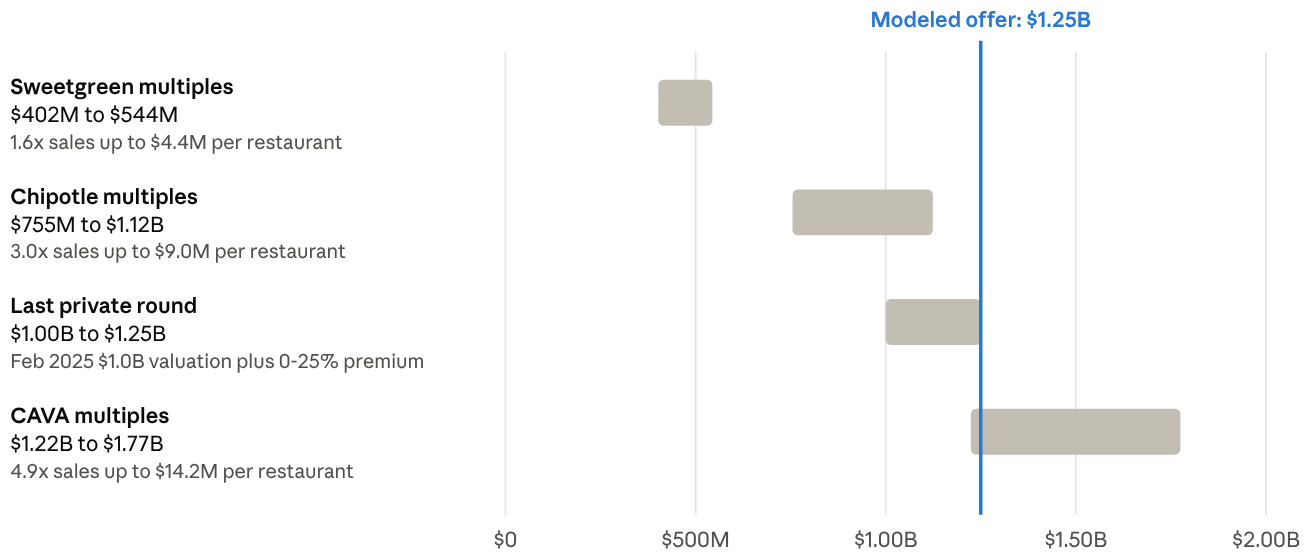
Valuation

At $1.25 billion, either bidder would pay 5.0x Just Salad's 2026 sales, a multiple only CAVA's market value supports. On Chipotle's own trading multiple of about 3.0x sales, Just Salad is worth roughly $755 million to $1.1 billion.

Company	Market cap	Restaurants	Sales, trailing	Price / sales	Value per restaurant
CAVA	$6.76B	476	$1.37B	4.9x	$14.2M
Just Salad, Feb 2025 round	$1.0B	~100	$0.16B (FY2024)	6.3x	$10.0M
Just Salad, modeled offer	$1.25B	~125	$0.25B (2026E)	5.0x	$10.0M
Chipotle	$37.77B	4,201	$12.4B	3.0x	$9.0M
Sweetgreen	$1.25B	287	$0.77B (Q2 2026 annualized)	1.6x	$4.4M

A $1.25B offer prices Just Salad above Chipotle's own multiples

Implied equity value by method; each bar spans the low and high value



Peer market data as of Oct 19–20, 2026; Just Salad 2026E revenue of $248M is modeled; ~125 restaurants. Sources below.

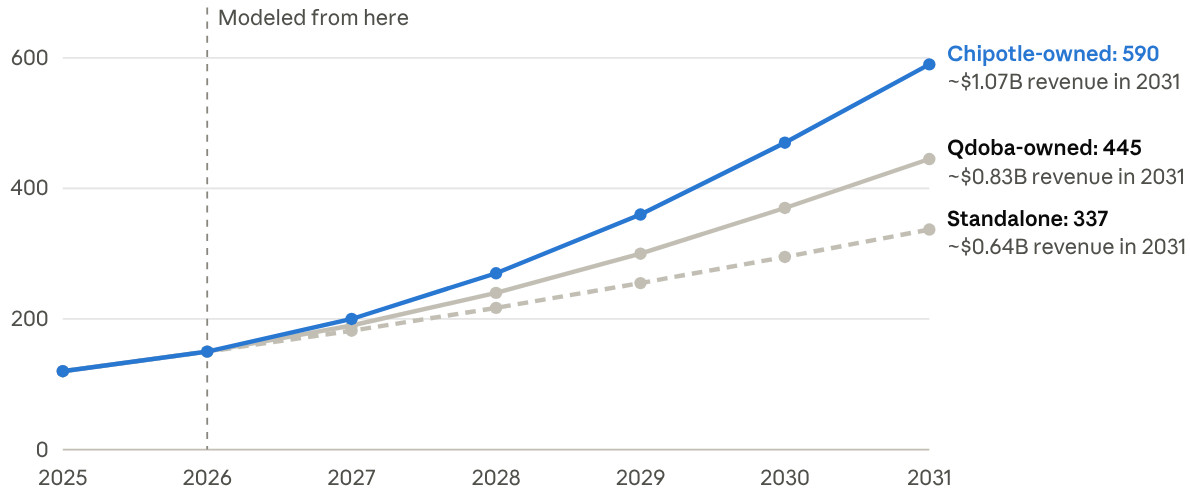
The offer clears the bar only if Just Salad deserves CAVA-like pricing, which rests on keeping 20%+ revenue growth. Per restaurant, the offer equals the $10 million investors paid in 2025: the 25% premium on the total price is covered by the roughly 25 restaurants opened since.

Growth model

The deal only pays if the owner makes Just Salad grow much faster than it would alone. Under Chipotle, openings rise from 50 in 2027 to 120 in 2031; under Qdoba, from 40 to 75, using its development team and franchisee relationships. That takes 2031 revenue to about $1.07 billion with Chipotle, $826 million with Qdoba and $641 million alone.

Under Chipotle, Just Salad reaches 590 restaurants by 2031; 445 under Qdoba, 337 alone

Year-end restaurants, actual and planned through 2026, modeled after



2025 actual (~120) and 2026 plan (~150) from company statements; 2027–2031 modeled. Revenue = average open units × $1.80M, +2% a year.

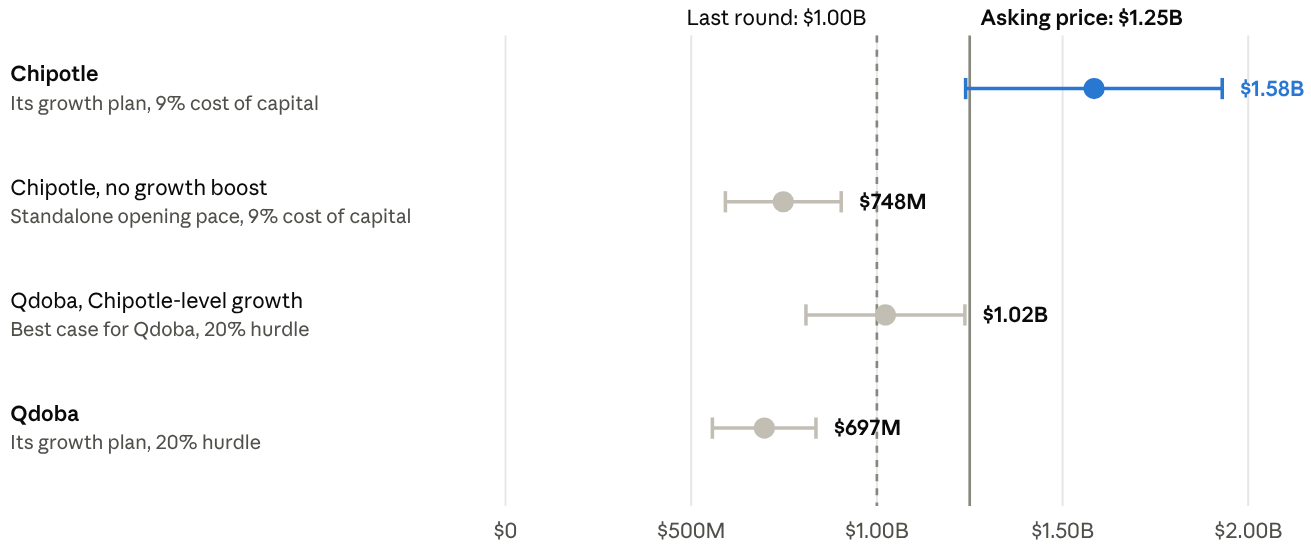
Even 120 openings a year would use only about a third of Chipotle's 350–370 annual capacity, while 75 would roughly match Qdoba's entire 2026 opening plan. For both, the harder constraint is people: Just Salad cooks on site with no automation, so trained managers, not real estate, set the pace.

What each bidder can pay

Chipotle can justify about $1.6 billion; Qdoba about $700 million. Chipotle clears the asking price even at the bottom of its range, while Qdoba falls short at the top of its own.

Only Chipotle can clear the $1.25B ask: it could pay ~$1.6B, Qdoba ~$0.7B

Highest price each bidder can pay and still hit its required return; dot = 15x exit, line = 12x to 18x

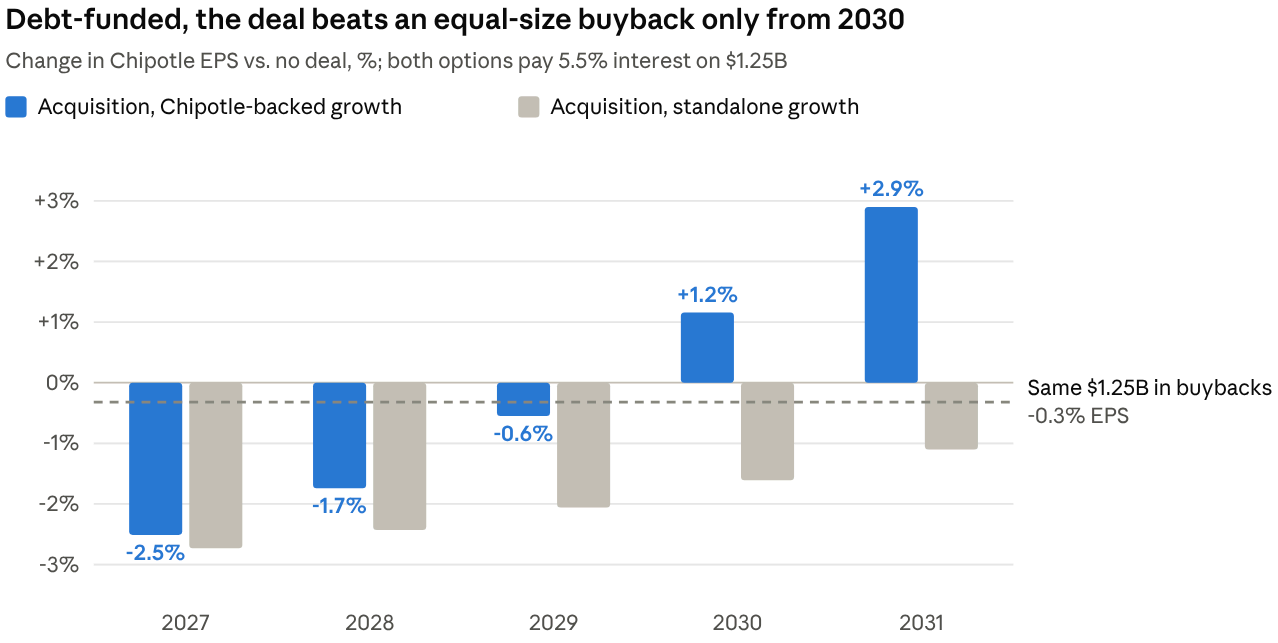


Modeled. Five-year hold (2027–2031), exit at 12–18x 2031 EBITDA. Chipotle: unlevered, 9% hurdle. Qdoba: $150M debt at 7%, 20% equity hurdle. Growth-capex $1.2M per new unit.

The two grey rows split the gap into its causes. Without its faster build-out, Chipotle's price falls to about $750 million, so growth synergies are worth roughly $840 million to it. Given that same growth, Qdoba could still pay only about $1.0 billion, because a private-equity owner needs about 20% a year, not 9%.

Chipotle's EPS test: deal vs. buyback

Funded with debt, the deal cuts Chipotle's EPS by 2.5% in 2027 and only beats spending the same money on buybacks from 2030. With standalone growth it never catches up within five years.



Modeled. Deal closes early 2027; Just Salad EBITDA margin 11.5% rising to 16.5% (backed) or 10.5% to 12.5% (standalone); D&A 5% of revenue; 25% tax; buyback at $29.65.

The buyback is nearly flat, not strongly positive, because Chipotle trades at about 26.5x earnings: its 3.8% earnings yield is below the roughly 4.1% after-tax cost of debt. Funded from cash at a 4% forgone yield instead, both options improve by about a point (buyback +0.7%, deal −1.5% in 2027), and the deal still overtakes only in 2030.

Qdoba has no public EPS to protect; its test is the sponsor's return. At $1.25 billion with $150 million of debt, Butterfly's $1.1 billion equity check would earn about 5% a year at a 15x exit, a quarter of a typical 20% buyout hurdle.

Risks by bidder

Both bidders have tried second brands and walked away from them, so the main risk either way is that Just Salad becomes a distraction that gets sold or shut later.

Risk	Chipotle	Qdoba
Track record with second brands	Closed ShopHouse (15 units, 2017), Pizzeria Locale (2023) and Farmesa (2024)	Butterfly combined Qdoba with Modern Market and Lemonade in 2022, then sold Modern Market (2024) and Lemonade, leaving Qdoba standalone by 2025
Distraction at home	Mid-turnaround: Q2 2026 restaurant margin down 220 bps; Q3 results due Oct 28	Racing to reach 1,000 units by 2027 and 85% franchised
Financing	Debt-funded deal dilutes EPS ~2.5% in year one	Needs ~$1.1B of new sponsor equity, about twice the $527M continuation fund raised in 2025
Holding period	Permanent owner	Sponsor exit expected within a few years; Just Salad could be resold
Operating model	Automation push vs. Just Salad's hand-made kitchens	Franchising could dilute the cook-on-site standard
Food safety	Both brands buy fresh produce; a Cyclospora outbreak hit lettuce suppliers in July 2026	Same exposure, with less supplier leverage
Thin evidence	Just Salad's figures are private and preliminary (Technomic estimated 2023 sales at $150M, not the company's $120M)	Same

The Qdoba financing risk is the hardest to get around: the equity check alone would be about twice the size of the fund Butterfly raised to back Qdoba itself.

Verdict

Chipotle should be the buyer, but not at $1.25 billion in one step. It is the only bidder whose walk-away price clears the ask, because its capital is cheaper and it can build Just Salad restaurants roughly twice as fast. Qdoba cannot close the gap: even with Chipotle-level growth, a 20% hurdle caps its price near $1.0 billion.

The recommended structure is a Chipotle minority stake of 20–30% now, about $250–375 million at the same valuation, with the right to buy the rest at a pre-agreed multiple once Just Salad passes about 250 restaurants. That keeps most of Chipotle's buyback capacity while it finishes its own turnaround, and it mirrors how Chipotle already invests through its $100 million Cultivate Next fund.

Qdoba's best move is a different deal: a franchise-development partnership to take Just Salad into Qdoba franchisees' markets, which needs no acquisition equity. What would change the verdict: Chipotle comps clearly positive in Q3–Q4 2026 would support buying outright, while a Just Salad pivot to franchising would make Qdoba a credible owner.

Model assumptions

Assumption	Value	Reasoning
Just Salad revenue per average open unit	$1.80M in 2025, +2% a year	$195M 2025 revenue / ~110 average units; below the $2.2M traditional-unit AUV because newer and urban units are smaller
Year-end 2026 units	150	~120 at end-2025 + ~30 planned openings
Openings, standalone	32, 35, 38, 40, 42 (2027–2031)	Gentle acceleration from the 2025–2026 pace
Openings, Qdoba-owned	40, 50, 60, 70, 75	Qdoba's development team and franchisee network; Just Salad stays company-run
Openings, Chipotle-owned	50, 70, 90, 110, 120	Under a third of Chipotle's annual opening capacity
EBITDA margin	Standalone 10.5% to 12.5%; Qdoba 11% to 14%; Chipotle 11.5% to 16.5%	20%+ restaurant margin less G&A; synergies scale with each bidder's purchasing power
D&A / tax / growth capex	5% of revenue / 25% / $1.2M per new unit + 2% of revenue maintenance	Typical company-owned fast casual

Assumption	Value	Reasoning
Exit / terminal value	12x, 15x (base), 18x 2031 EBITDA	Range for scaled fast-casual chains; CAVA and Chipotle trade higher
Chipotle hurdle	9% unlevered	Approximate cost of capital for a debt-free large cap
Qdoba hurdle and financing	20% equity return; $150M debt (6x 2026E EBITDA) at 7%	Typical buyout target; securitization-style pricing
Chipotle EPS financing	5.5% debt or 4.0% forgone yield on cash, after tax	Approximate investment-grade borrowing and money-market rates
Buyback price / shares / EPS	$29.65 / 1.265B / $1.12 trailing	Chipotle, Oct 20, 2026
Peer multiples	Market cap ÷ trailing sales (Sweetgreen: Q2 2026 annualized)	Market cap, not enterprise value; leases excluded

Sources

- Chipotle Q2 2026 results (SEC 8-K) and 10-Q
- Chipotle Q2 2026: units, margin, cash (Nasdaq/Zacks)
- Chipotle FY2025 results and Q4 2025 call highlights (MarketBeat)
- Chipotle market cap history (Macrotrends), Stock Analysis, price and TTM data (Gotrade), shares and revenue (PitchBook)
- Just Salad revenue 2023–2025 (QSR) and AUV, margins, drive-thru (NRN)
- Just Salad $200M raise at $1B (Latham & Watkins) and Fast Casual
- Just Salad–Jalen Brunson partnership (QSR) and footprint (AfroTech)
- Just Salad 2023 Technomic estimate (CSP Daily News)
- CAVA Q2 2026 results (SEC), unit count (Investing.com), TTM revenue (Barchart), market cap (Gotrade)
- Sweetgreen Q2 2026 results (SEC), units (MarketBeat), market cap (CompaniesMarketCap)

- Chipotle's past brands and Cultivate Next (NRN) and Farmesa closure (Verdict)
- Starbucks denies Chipotle bid (NRN) and (NBC)
- Qdoba 2025 system sales, AUV, franchise mix, margins by format (QSR)
- Qdoba unit count, opening plans and 10-year targets (QSR)
- Qdoba $435M whole-business securitization, May 2026 (Pulse 2.0)
- Qdoba $527M continuation fund led by Apollo S3 (Restaurant Dive) and (Restaurant Business)
- Butterfly Equity buys Qdoba, merges it with Modern Market and Lemonade, 2022 (NRN)
- Thrive Restaurant Group buys Modern Market from Butterfly, 2024 (PrivSource)
- Chipotle FY2025 10-K: company-owned restaurant count